Team SleepieR

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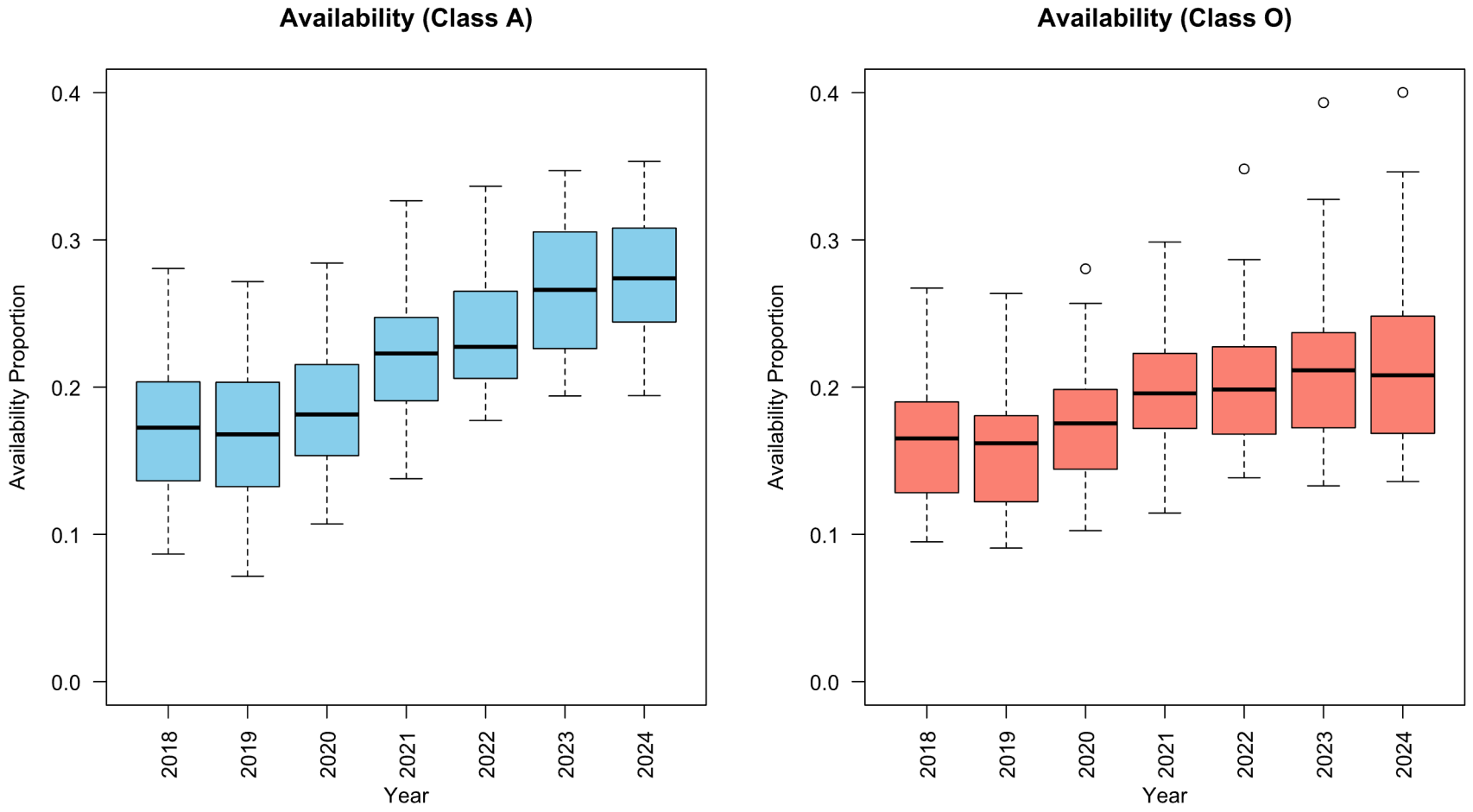
Case Study

- Small to Middle Sized (300) technology company
  - Maximize worker talent
  - Maximize space
  - Minimize cost
  - Average amount of remote workers (67.8%)

Source: https://neat.no/resources/top-remote-work-statistics/

What kind of property do we want?

- Class A
  - Nicest property but expensive.
- Class O (B,C)
  - Less nice, but less expensive



Overall Market Availability of Class A and Class O property

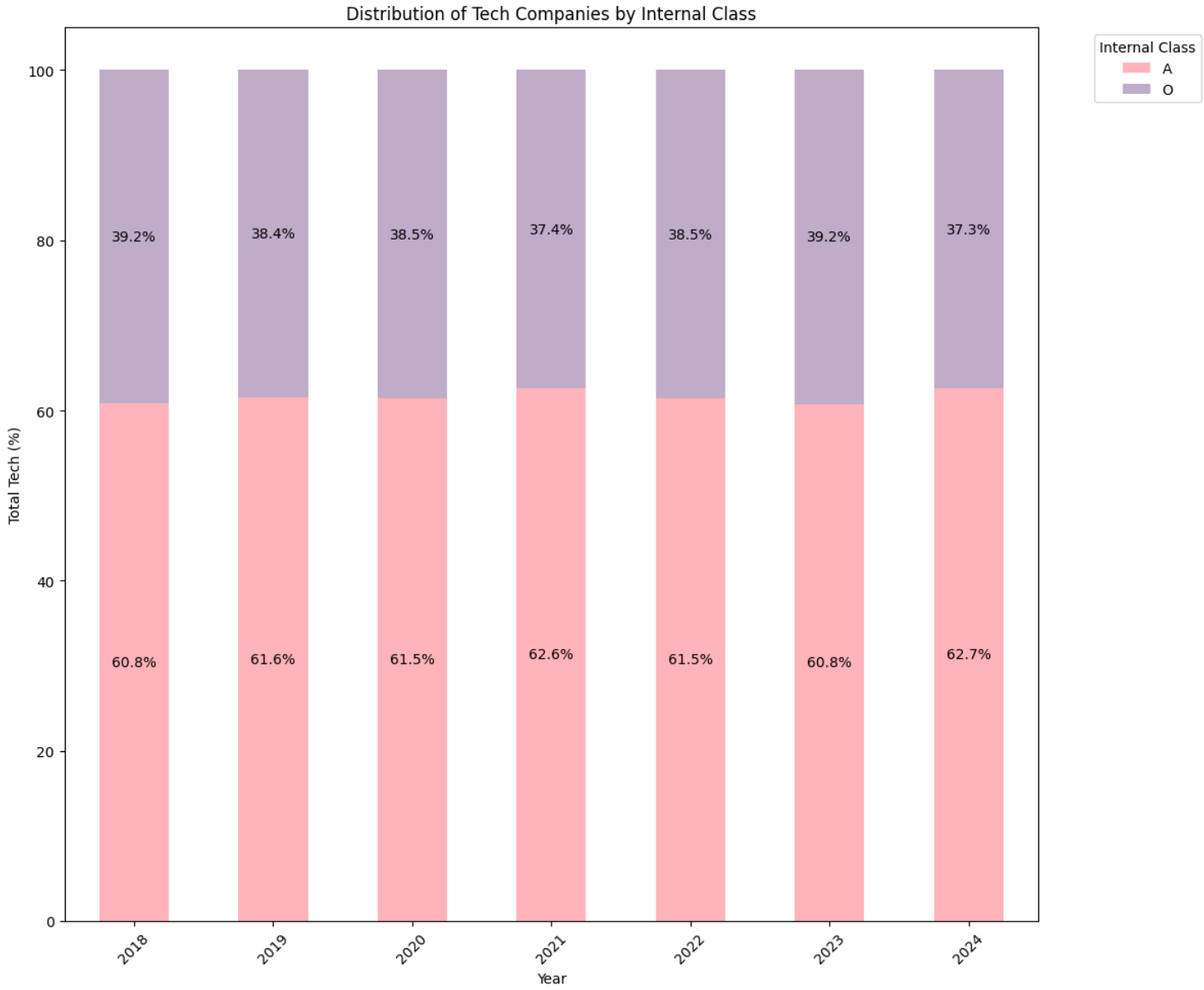
Class A vs Class O Property

Lease Summary by Property Class (Class A vs Class O)

Property Class	Total Leased SF	Avg Leased SF	Avg Internal Class Rent	Avg RBA	Lease Count
A	939,203,575.00	11,538.69	43.32	102,378,598.32	81,396.00
O	504,916,138.00	4,457.24	32.63	76,268,080.04	113,280.00

What do other Tech Companies Rent?

- Class A spaces make up most of the market for tech companies.



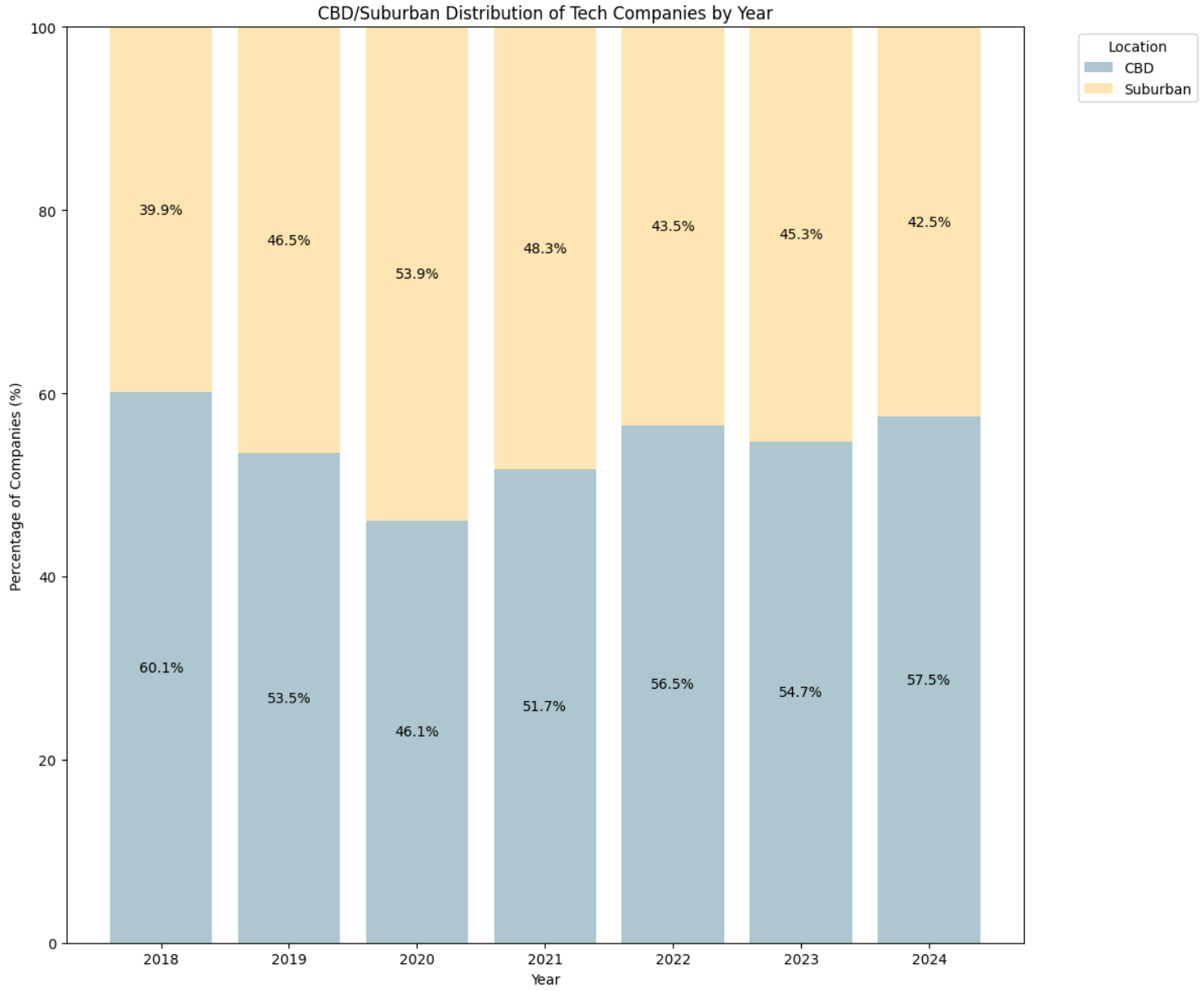
Suburban vs Urban Property

Lease Summary by Location Type

Location Type	Total Leased SF	Avg Leased SF	Avg Internal Class Rent	Avg RBA	Lease Count
CBD	679,763,187.00	10,929.90	51.24	129,672,037.23	62,193.00
Suburban	764,595,312.00	5,770.88	30.34	66,830,847.35	132,492.00

What do other Tech Companies Rent?

- Fairly even split between Suburban and Non-Urban

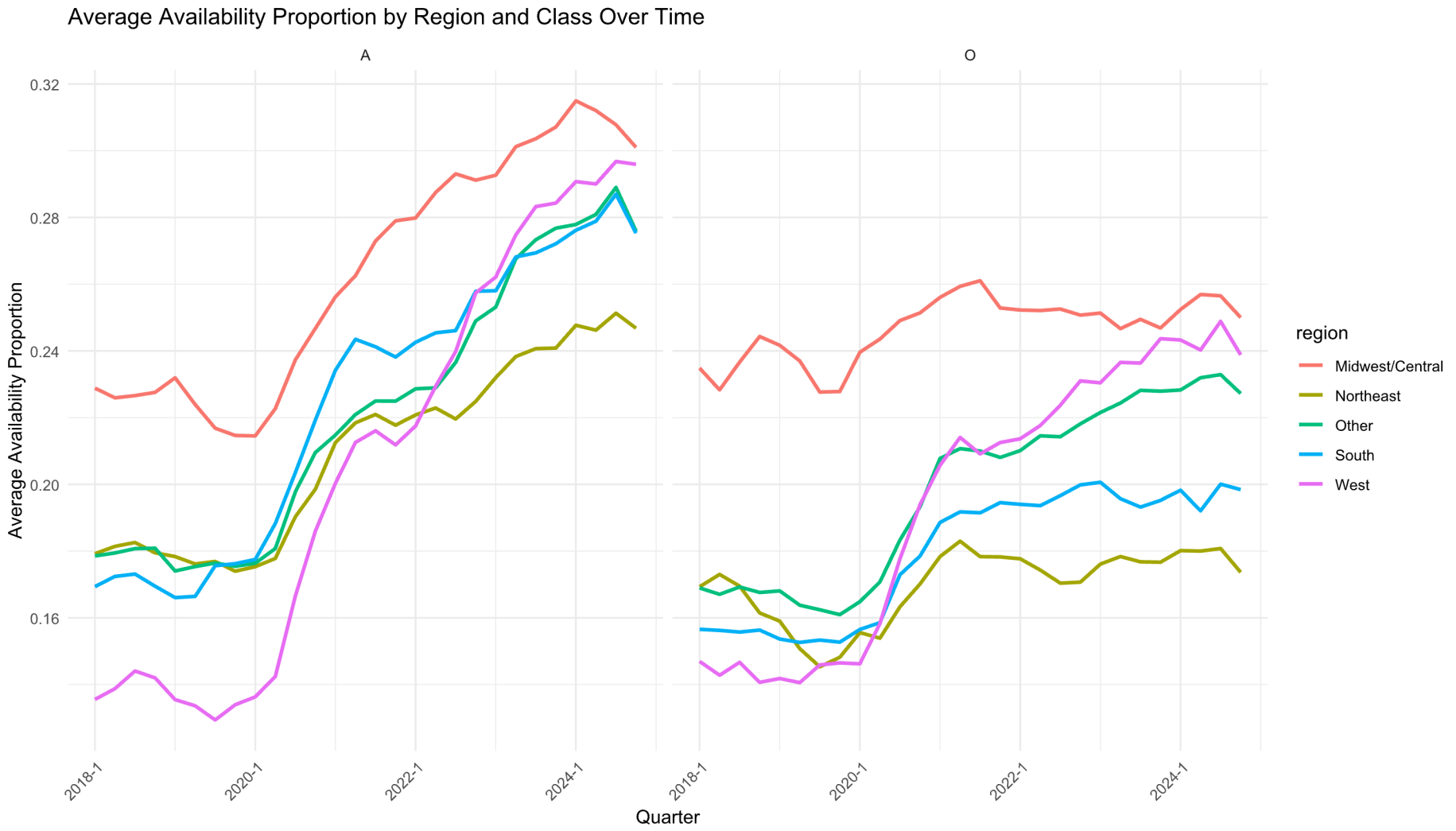


What kind of Property?

- We want class A property
  - Nice property, with lots of availability.
- We want a property in the suburbs (to save money)
  - Large enough for only about ~90 in-person employees

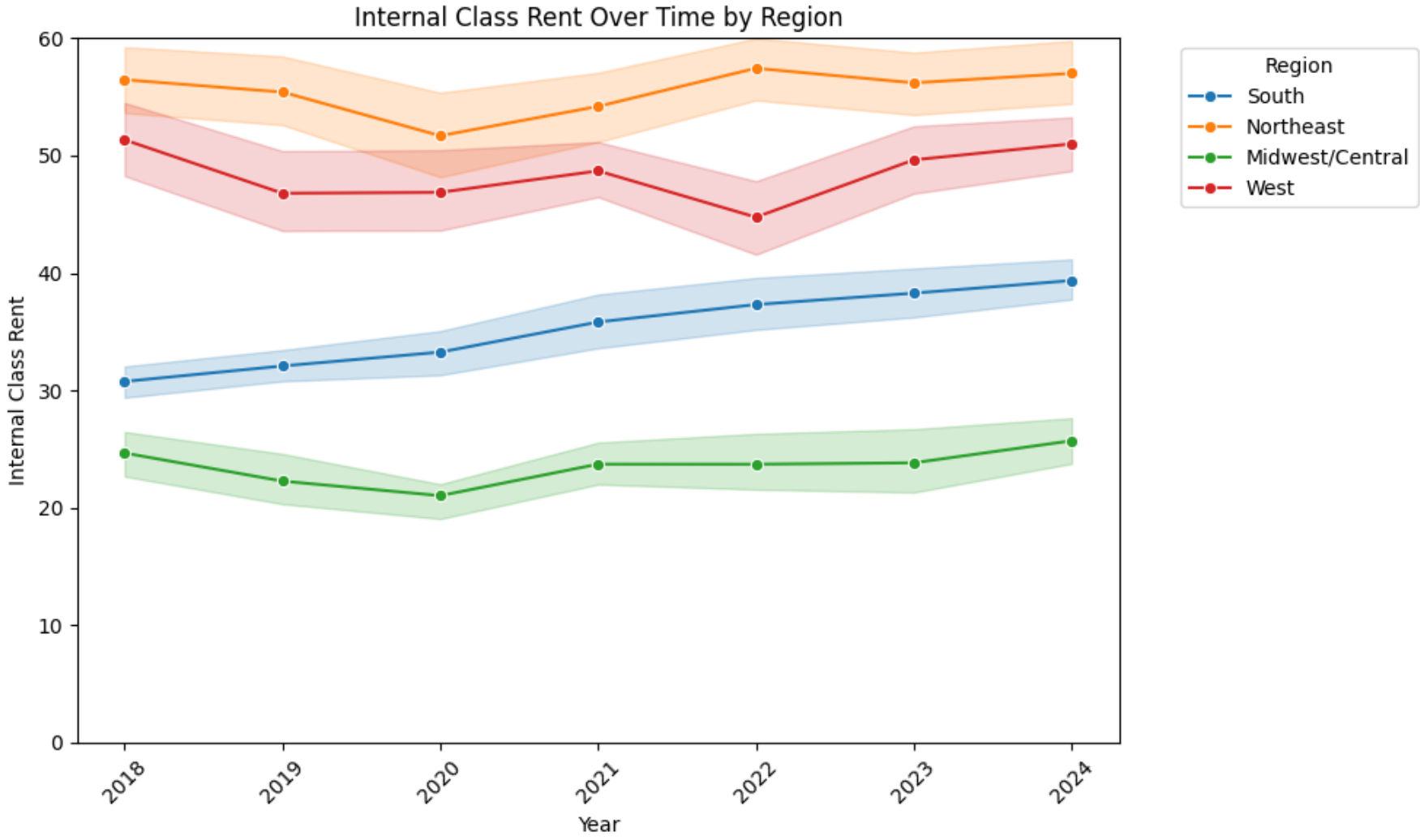
Where is there Space?

- Companies are moving away from luxurious offices
- Remote Working
- High Availability in West



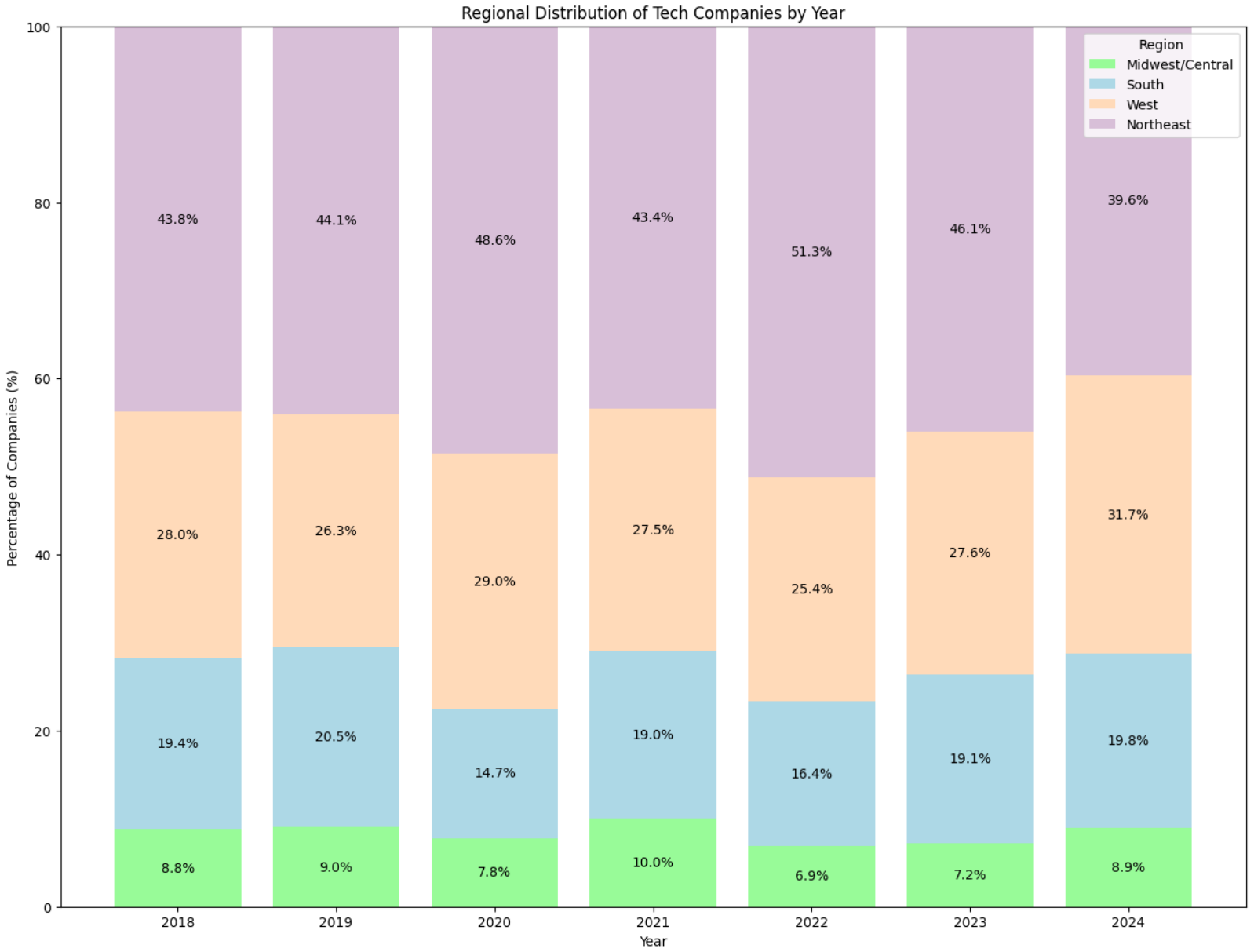
Where is there Cheap Space?

- High prices make the Northeast unaffordable for our company size
- West may be too expensive
- The South is rising, but lower than Northeast and West
- Midwest is the lowest



Where are Our Competitors

- Most competitors are in the Northeast and West
- South has some competition indicating some desirability
- Midwest has very little competition

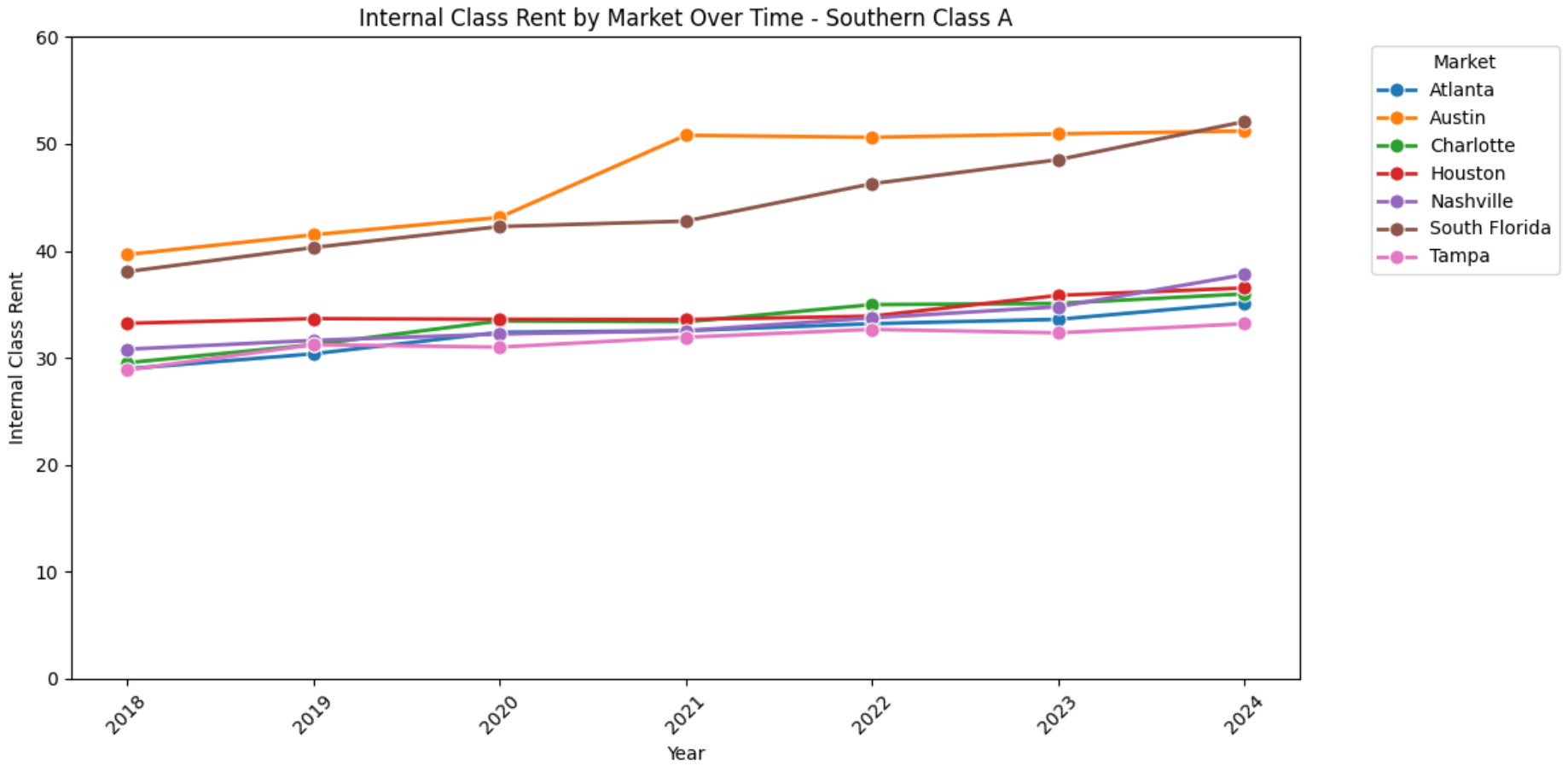


Where Should We Go?

- West and NE are expensive
- Good availability in West, NE, and South
- Competitors in West and NE
- South may be the best because it has low prices, high availability, and a healthy amount of competitors

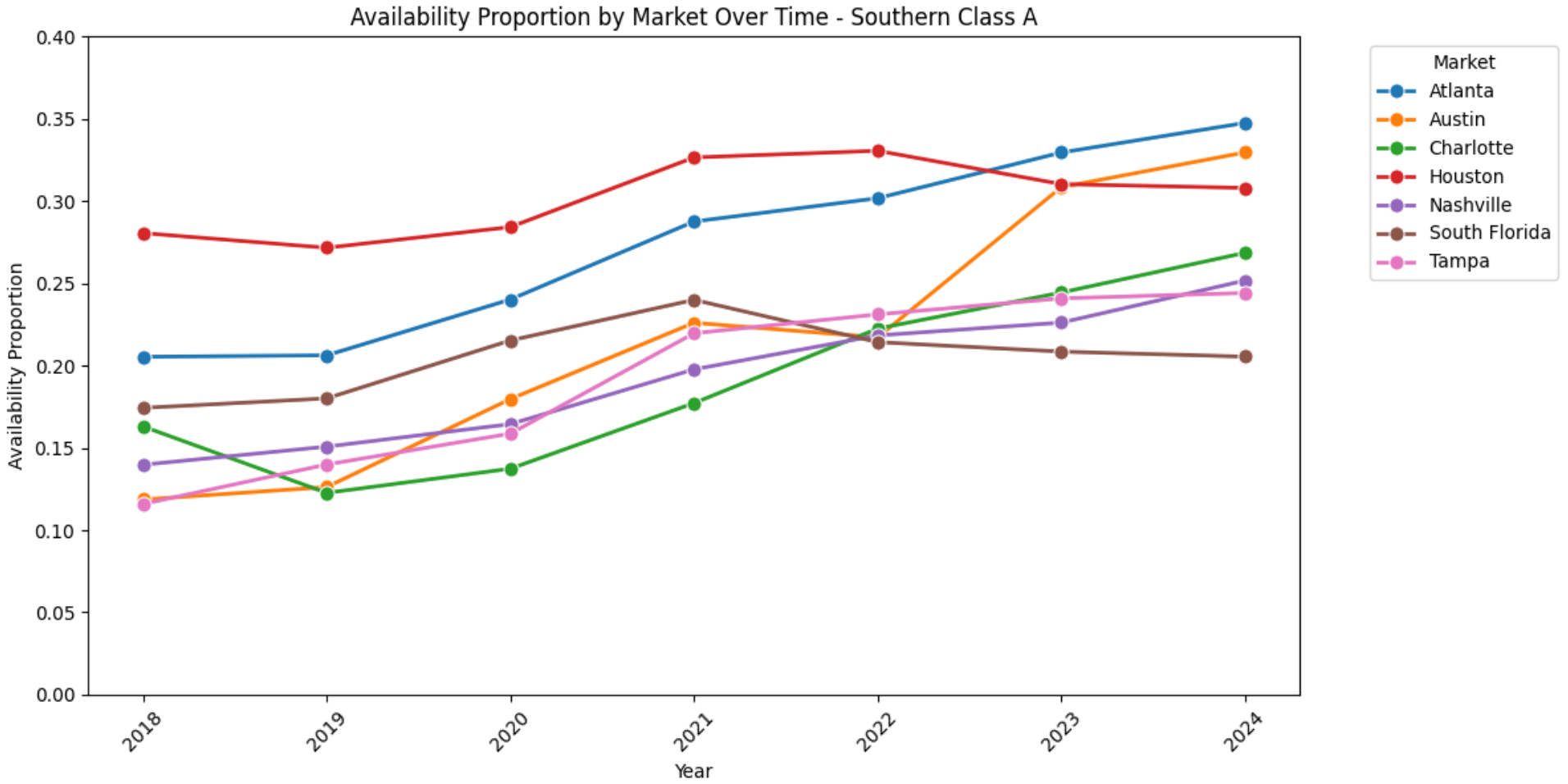
Looking At Southern Markets

- Austin and South Florida are highest
- Rest of markets are clustered together

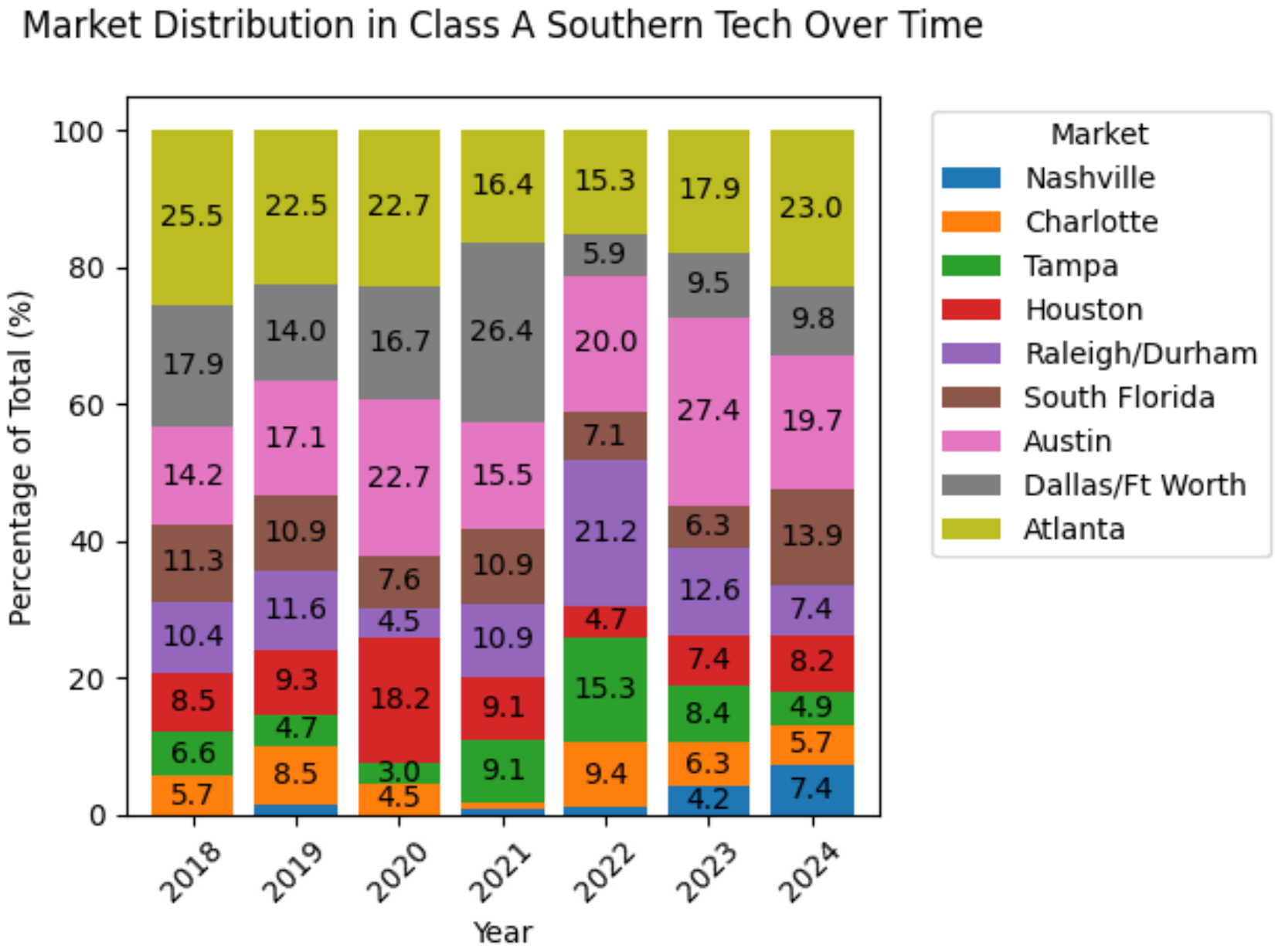


Looking at Southern Markets

- Atlanta, Austin, and Houston have most availability
- The other markets are close together



- Atlanta and Austin are the largest shares
- South Florida has a good amount of share
- Charlotte is lower than expected



Why do we want to go to Atlanta

- Low Rent
- High availability
- High tech presence

Conclusions

- The ideal location for mid-sized tech companies is Class A suburban real estate in Atlanta
- Occupancy has been decreasing since 2020
  - Greater vacancies in class A
- The Northeast and West have the greatest amount of availability and proportion of tech companies

Things excluded from Analysis

- Local Tax Rates – If you want to optimize this go to Delaware
- Local Cost of Living – This ideally would be as low as possible, but because we are a tech company many of our employees are remote
- Local Crime Rates – Some areas have higher crime and are less desirable.

Further Analysis

- Applying this to other industries
- Using CPI to adjust prices for inflation (29% over the last 7 years)
- Some kind of prediction model (multiple linear regression, polynomial regression, etc...)
- Analyzing office space sizes that fit our company's needs (90 employees)